

July 23, 2026 01:19 AM GMT

Soitec SA | Europe

The confirmation the market needed

WHAT'S CHANGED

Soitec SA (SOIT.PA)	From	To
Top Pick Added	-	SOIT.PA

Soitec's F1Q27 beat, guidance for more than 30% F2Q27 growth and expectation for Photonics-SOI revenue to more than double in FY27, confirm the ramp investors had questioned. We move the shares to Top Pick and raise FY28-29 EPS by 43% and 32%.

Key Takeaways

- F1Q27 revenue of €113m beat the Street by 6%, while F2Q27 growth guidance of more than 30% compares with 4% consensus.
- Photonics-SOI drives both beats, and management now expects FY27 revenue from the product to more than double.
- We raise FY27-29 revenue by 8-19% and FY28-29 EPS by 43% and 32%, with almost €8 of FY29 EPS.
- Beyond the estimates increase we expect the investor base to broaden as the investment case becomes more accessible on near term momentum.
- Soitec moves to Top Pick as we maintain our €200 PT, using 25x FY29 EPS versus 35x previously.

After yesterday's close, Soitec pre-announced F1Q27 revenue of €113m, 6% above the Street's €107m estimate. Revenue grew 23% y/y in the quarter vs. the company's 15% guide. For F2Q27, Soitec guided to more than 30% y/y growth, compared with 4% expected by the Street. Both beats came from higher Photonics-SOI demand for high-speed optical interconnect in AI data centres. The cherry on the pie was the addition by the company that "Photonics-SOI FY27 revenue is expected to more than double." We believe this is the catalyst the market has been waiting for and double down on our OW call by moving Soitec to Top Pick.

As optical networking shares sold off, customer revenue targets and capacity plans moved higher. The optical networking sub-sector has been hit particularly hard during this summer's correction as AI capex and CPO (co-packaged optics) timelines were questioned. However, the announcements by companies in the sector told a different story. Soitec's announcement that it expects to "more than double" its Photonics-SOI revenue in FY27 is not surprising in this context but well ahead of market expectations (MSe: +60% y/y, quantitative consensus likely similar).

- Tower Semiconductor (not covered), raised its 2028 target model on 16 July to \$3.6bn of revenue and \$1.2bn of net profit, from \$2.8bn and \$750m,

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Soitec SA (SOIT.PA, SOI FP)

Top Pick

Technology - European Semiconductors | France

Stock Rating	Overweight
Industry View	In-Line
Price target	€200.00
Shr price, close (Jul 22, 2026)	€96.02
52-Week Range	€200.50-22.62
Mkt cap, curr (mn)	€3,241
Net debt (03/27e) (mn)*	€(225)
EV, curr (mn)*	€3,276

* = GAAP or approximated based on GAAP

Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Sales / Revenue (€mn)**	593	678	888	1,255
EBITDA (€mn)**	119	183	298	512
EBIT (€mn)**	(131)	36	138	342
EPS (€)**	(6.23)	0.57	2.97	7.87
Prior EPS (€)**	-	(0.25)	2.08	5.95
EPS (€)§	(1.86)	0.08	2.01	4.36
P/E**	NM	169.9	32.3	12.2
EV/revenue*	4.2	(0.5)	(0.3)	(0.3)
EV/EBITDA**	20.7	(1.9)	(0.9)	(0.7)
EV/EBIT**	NM	(9.4)	(1.9)	(1.0)
FCF yld ratio (%)**	2.3	5.6	1.8	5.0
Net debt (€mn)*	35	(225)	(308)	(544)
RNOA (%)**	(13.2)	3.6	18.5	45.4
ROE (%)**	(18.4)	2.1	10.9	26.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

* = GAAP or approximated based on GAAP

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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backed by a 300mm photonics capacity increase.

- STMicroelectronics guided on 2 June to about \$1bn of data-centre revenue in 2026 and said it could double in 2027. In April, it had guided to nicely above \$500m and well above \$1bn, respectively. PIC100 entered 300mm high-volume manufacturing in March, and ST plans to more than quadruple capacity by 2027.
- Our Greater China team's supply-chain work points to TSMC, covered by Charlie Chan, ramping photonic integrated circuits from 10kwpm in 2Q26 to 15kwpm in 4Q26 and at least 25kwpm in 2028. At about \$1,000 per wafer, 25kwpm represents roughly \$300m of annual revenue opportunity for Soitec.

We saw the signals but had not yet put them into our numbers. We were close to finalising work on the subject, but had not converted the customer announcements into higher revenue estimates. We appreciate that the market required evidence from Soitec directly to believe that it too could benefit to the same extent. Since our upgrade, a recurring question from investors has been why Soitec was growing only around 40-50% y/y in FY26 while Tower and GlobalFoundries (covered by Joe Moore) were doubling photonics revenue. The new FY27 outlook answers this question as it aligns Soitec more closely with customer demand signals.

This announcement provides the confirmation the market was looking for and works on multiple levels. Most importantly, it confirms that Soitec's near-term revenue trajectory is very strong and aligned with those customers. This should make the stock more accessible, as modelling becomes more straightforward. It also shows that Soitec's photonics revenue is not solely tied to the potential introduction of CPO, a common bear argument. However, we continue to believe that scale-up, even within hybrid multi-rack systems using NPO (near-packaged optics), represents a further 5-10x step-up in Soitec's potential addressable market, which is why we expect very strong growth of a multi-year period

Doubling revenue is the norm in photonics, and we do not expect that to be limited to this year. We expect a material increase in consensus expectations for Soitec's FY27, which ends in March and is therefore best compared with CY26. What the market may still miss is that growth is more likely to accelerate from here than decelerate. Customers such as Tower, GFS and STM have all pointed to multi-year growth trajectories. There is no obvious reason to assume a different path for Soitec, as our checks confirm that Soitec is (almost) always the sole supplier for 300mm wafers, where investment is focused.

We significantly raise our estimates. Our FY27-29 revenue estimates increase by 8-19%, driving earnings upgrades of 43% and 32% for FY28 and FY29, respectively. We now see almost €8 of FY29 earnings power, or €10 in our bull case. FY29 ends in March 2029 and therefore overlaps more closely with calendar 2028. We expect consensus to follow suit, as our EBITDA estimates were already 8% and 16% above the Street before this increase.

Soitec is our New Top Pick. We see no need to raise our PT, for now, given 108% implied upside to yesterday's close. As our estimates move materially higher, we cut our target multiple to 25x FY29e earnings (broadly aligned to calendar 2028), from

35x previously to reflect lower sector valuations and investor pushback on paying a high multiple for outer-year forecasts. That perception could change as the optical networking opportunity becomes better understood. Photonics represented only 8% of Soitec revenue in FY25, but based on our interpretation of yesterday's update, it reaches around one-third of revenue in the current year. Concerns around RF-SOI will continue to linger, which we capture in our bear case, but at around 20% of FY27e revenue, it no longer defines the investment opportunity, in our view. Soitec will host an investor webcast at 8am CET ([link](#)).

Exhibit 1: Soitec: MSe changes to estimates

	New			Old			New vs. Old		
	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e
	CY26e	CY27e	CY28e	CY26e	CY27e	CY28e	CY26e	CY27e	CY28e
Mobile communications	250	281	356	280	333	404	-11%	-16%	-12%
Automotive & Industrial	76	83	91	76	83	91	0%	0%	0%
Edge & Cloud	351	524	807	269	380	562	30%	38%	44%
- of which Photonics SOI	260	468	796	173	286	486	50%	64%	64%
Revenue	678	888	1,255	626	797	1,058	8%	12%	19%
Revenue y/y	-1.9%	31.0%	41.3%	-7.9%	27.3%	32.8%	6 ppt	3.8 ppt	8.5 ppt
Gross profit	171	289	505	137	245	409	25%	18%	23%
Gross margin	25.3%	32.5%	40.2%	21.9%	30.8%	38.7%	338bps	176bps	155bps
EBITDA	183	298	512	143	246	410	28%	21%	25%
EBITDA margin	27.0%	33.5%	40.8%	22.8%	30.8%	38.7%	420bps	268bps	208bps
EBIT	36	138	342	2	100	260	N/A	37%	32%
EBIT margin	5.4%	15.5%	27.2%	0.3%	12.6%	24.6%	504bps	293bps	267bps
EPS	0.57	2.97	7.87	(0.25)	2.08	5.95	N/A	43%	32%

Source: Morgan Stanley Research estimates

Risk Reward – Soitec SA (SOIT.PA) Top Pick

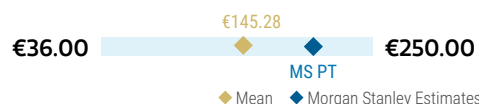
Providing the shovels for the PICs

PRICE TARGET €200.00

We derive our €200 price target by applying a 25x multiple to our CY28e (fiscal '29 - March '29 year end) EPS estimate (vs 35x previously). We value Soitec on CY28e given increased visibility on the trajectory of growth for Photonics SOI, which we believe will be a multi-year growth story. The new multiple reflects lower sector valuations and investor pushback on paying a high multiple for outer-year forecasts.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



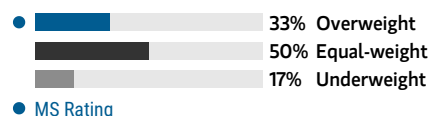
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

Soitec is leveraged to silicon photonics (SiPho) through its near-monopoly in photonics SOI substrates, a critical input for PICs. As SiPho adoption scales in AI datacenters, Soitec's opportunity increases. With near term acceleration confirmed on both better demand visibility and execution we see Soitec as a core holding for investors that want exposure to optical networking.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

€300.00

40x CY28e (March end 2029) bull case EPS

Our bull case fair value is derived by applying a 30x target P/E multiple to our bull case CY28 (FY29) earnings estimates. For our bull case we assume a stronger recovery in RFSOI and more aggressive growth in Photonics SOI that show a path to earnings power of €10.

BASE CASE

€200.00

25x CY28e EPS (March end 2029)

We model a meaningful, multi-year growth trajectory in Photonics SOI as well as a normalisation in RFSOI. We apply a 25x P/E multiple to CY28 (FY29) to capture Soitec's earnings potential in the multi-year optical networking opportunity.

BEAR CASE

€80.00

20x CY28e (March end 2029) bear-case EPS

Our bear case fair value is derived by applying a 20x target P/E multiple to our c.50% lower bear case CY28 (FY29) (discounted back by one year) EPS estimate. For our bear case we assume a slower recovery in RFSOI and more less growth in Photonics SOI.

Risk Reward – Soitec SA (SOIT.PA)

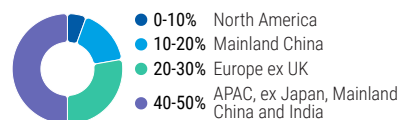
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
Revenue growth (%)	(34)	14	31	41
EBIT margin (%)	(22)	5	16	27
FCF	56	261	83	236

INVESTMENT DRIVERS

- Execution on key KPIs: RF-SOI channel inventory reduction, Photonics growth and positive FCF by improved working capital management.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Further evidence of RF-SOI channel inventory reduction
- Accelerating growth for Photonics SOI
- Meaningful operating leverage on a largely fixed cost base

RISKS TO DOWNSIDE

- Further expectations misses on RF-SOI in particular
- Inconsistent messaging around KPI's
- Growth drivers (photonics and POI) contributing less

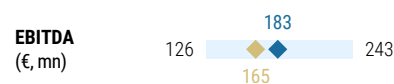
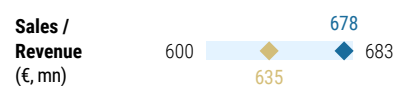
OWNERSHIP POSITIONING

Inst. Owners, % Active	86.5%	
HF Sector Long/Short Ratio	2.6x	
HF Sector Net Exposure	13.2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Lee Simpson		
ASML Holding NV (ASML.AS)	O (09/22/2025)	€1,589.60
Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€69.80
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€58.27
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€41.64
ASM International NV (ASMI.AS)	O (06/19/2024)	€895.40
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€248.10
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€74.10
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 167.40
Soitec SA (SOIT.PA)	O (03/26/2026)	€96.02
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 643.20

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* Historical prices are not split adjusted.